

Chapter 12: Fundamental Accounting Principles and Concepts

Excel file for this chapter: [excel/Ch12_Accounting_Concepts.xlsx](#) (includes a self-marking quiz)

1. Learning goals

1. Explain the main accounting concepts in your own words.
2. Apply each concept to a simple business situation.
3. Link each concept to the topics in Chapters 8, 10 and 11.
4. Explain the qualities that make accounting information useful.

2. Why do we need rules?

Every business prepares financial statements. If each business used its own rules, nobody could compare them. Owners, banks, investors and tax authorities need information which is reliable and prepared the same way. Accounting concepts are the **basic rules** everyone follows.

International Accounting Standards (IAS) build on these concepts so statements from different businesses and countries are prepared in a similar way.

3. The ten concepts

3.1 Business entity

The business is **separate** from its owner. Only business transactions are recorded.

- Example: the owner's private house and family shopping are not in the business books.
- When the owner takes goods or money for private use, record it as **drawings**.

3.2 Duality (double entry)

Every transaction has **two effects**: one debit and one credit of equal value.

- Example: buying equipment for \$5,000 by cheque. Equipment rises (debit), bank falls (credit).
- This is why $\text{Assets} = \text{Capital} + \text{Liabilities}$ always balances.

3.3 Money measurement

Only items which can be measured **in money** are recorded.

- Example: staff skill, customer loyalty and a good location are valuable, but they are not recorded because they have no reliable money value.

3.4 Historical cost

Assets are recorded at their **original cost**, not their current market value.

- Example: land bought for \$50,000 ten years ago is still recorded at \$50,000, even if it is now worth \$90,000.
- Cost is a fact supported by an invoice, so it is **objective**.

3.5 Going concern

Assume the business will **continue** trading for the foreseeable future.

- Example: non-current assets are shown at cost less depreciation, not at the amount they would fetch in a closing-down sale.
- If the business is about to close, assets are valued at what they would sell for.

3.6 Realisation

Revenue is recorded when it is **earned**, which is when goods or services pass to the customer. It is not when the cash is received.

- Example: goods sold on credit on 28 December and paid for on 15 January are this year's revenue.

3.7 Accruals (matching)

Match income and expenses to the **period they belong to**, whether or not cash has been paid or received.

- Example: December electricity paid in January is an expense of December's year. (Chapter 11.)
- Depreciation spreads an asset's cost over the years it is used. (Chapter 10.)

3.8 Consistency

Once a method is chosen, **use it every year**. Change only for a good reason, and explain the change.

- Example: if vehicles use reducing balance depreciation at 25%, use the same method next year. This lets you compare one year with another.

3.9 Prudence

Do not **overstate** assets or profit. Do not **understate** liabilities or losses. Record losses as soon as they are likely; record profits only when they are earned.

- Example: create an allowance for irrecoverable debts. (Chapter 8.)
- Example: value inventory at the **lower of cost and net realisable value**.

3.10 Materiality

Small (immaterial) items do not need strict treatment if the result would not affect a user's decision.

- Example: a \$5 stapler will last several years, but it is recorded as an expense rather than a non-current asset. It is not worth depreciating.
- What is material depends on the size of the business.

4. Summary table

Concept	One line meaning	Where you see it
Business entity	Business and owner are separate	Drawings, capital
Duality	Every transaction has two sides	Double entry, trial balance
Money measurement	Record only what has a money value	Staff skill not recorded
Historical cost	Record assets at cost	Non-current assets at cost
Going concern	Business will continue	Assets at cost less depreciation
Realisation	Revenue when earned	Credit sales recorded at delivery
Accruals (matching)	Income and expenses in the right period	Accruals, prepayments, depreciation
Consistency	Same methods each year	Depreciation method, inventory method
Prudence	Do not overstate assets or profit	Allowance for irrecoverable debts, inventory valuation
Materiality	Small items treated simply	Stapler as expense

5. Useful information: the four qualities

Accounting information must be useful. It should have these qualities:

Quality	Meaning
Relevance	Helps users make decisions. It is up to date and on time.
Reliability	Free from errors and bias. It can be checked (for example against invoices).
Comparability	Can be compared with earlier years and with other businesses. Consistency helps this.
Understandability	Clear and set out so users with reasonable knowledge can follow it.

6. Inventory valuation (links to prudence)

Inventory is valued at the **lower** of:

- **Cost:** what the business paid, plus carriage inwards.
- **Net realisable value (NRV):** expected selling price minus any costs to sell it (repairs, selling costs).

Example: goods cost \$800. They are damaged. They can be sold for \$700 after \$50 of repairs. $NRV = 700 - 50 = 650$. Value the goods at **\$650**.

7. Applying concepts: how to answer questions

When asked "Which concept applies?":

1. Read the situation.
2. Ask: is it about **who** (entity), **when** (realisation, accruals), **how much** (historical cost, prudence, materiality), **method** (consistency), **future** (going concern), or **measurement** (money measurement)?

3. Name the concept **and** explain it in one sentence linked to the situation.

Worked example 12.1

"The owner took \$400 of goods from the shop for her family."

- Concept: **Business entity**.
- Explanation: the business and the owner are separate, so the goods are recorded as drawings, not as a business expense.

Worked example 12.2

"A trader expects some credit customers will not pay and reduces trade receivables by 3%."

- Concept: **Prudence**.
- Explanation: trade receivables are not overstated, so profit and assets are not overstated.

8. Common mistakes

- Mixing up **realisation** (when to record revenue) and **accruals** (matching income and expenses to a period).
- Saying "prudence means understating profit on purpose". It does not. It means do not **overstate**.
- Naming a concept without explaining how it applies.

9. Check yourself

1. Which concept means the owner's personal car is not in the business accounts?
2. Which concept explains why depreciation methods should not change each year?
3. Goods cost \$1,200, selling price \$1,500, selling costs \$100. Value for inventory?

Answers: see `model-questions/Answer_Key.md`, Chapter 12 section.